

Addressing the current trade
war tensions between the United
States and the People's Republic
of China.

Economic and Financial Committee (Second Committee)

I. Introduction

A trade war is an economic conflict where countries retaliate against each other's perceived unfair trading practices by raising import taxes (often referred to as tariffs) or establishing quotas to limit goods from the other nation. While they are often aimed at protecting domestic industries or reducing trade relations, these actions typically create a cycle of retaliation with several negative consequences, such as increasing costs for consumers and disrupting global supply chains.

The conflict between China and the United States has been ongoing since January 2018, when, during the first administration, President Trump began imposing trade barriers on China as a reaction to what the US labels as longstanding unfair practices and intellectual property theft. As a response, the Chinese government accused the Trump administration of engaging in nationalist protectionism and implemented its own retaliatory measures. The Biden administration kept the tariffs in place and added additional levies on Chinese goods. 2025 represented a turning point in the ongoing conflict, as the Trump administration imposed tariffs up to 127%, a substantial increase compared to the 60% tariff proposed during the 2024 presidential campaign.

II. Definition of Key Terms

Tariffs = taxes imposed by a government on imported goods, making them more expensive, less competitive, and reducing demand.

Import Quotas = direct restriction on the maximum quantity of a specific good that can be imported during a set period.

Protectionism = an economic policy that restricts imports from other countries to protect domestic industries from foreign competition.

Trade Deficit/ Imbalance = a situation where a country's imports exceed its exports.

Duties set on goods = taxes levied by a government on products transported across international borders, designed to generate government revenue, regulate trade, and protect domestic industries.

III. Background Information

Donald Trump's first noted advocacy for tariffs was in the 1980s, when, prompted by the Japanese economic success, he argued that the US trade deficit was a burden and that the country was being "ripped off" by its trading partners. In supporting tariffs as president, he stated that China was costing the American economy hundreds of billions of dollars annually due to unfair trade policies. The US recorded a trade deficit of more than \$500 billion per year, with intellectual theft accounting for an additional \$300 billion, and only with China, a deficit of roughly \$375–420 billion annually during the late 2010s.

The White House *Office of Trade and Manufacturing Policy* Director explained that the tariffs are purely defensive measures taken to reduce the trade deficit, and the cumulative trillions of dollars that Americans transfer overseas as a result of this deficit are used by those countries to buy America's assets.

Technology is considered the most important part of the US economy. According to the US trade representative, China maintains a policy of forced technology transfer along with state capitalist practices. As a result, by early 2018, officials in the first Trump administration started taking measures. They aimed to prevent Chinese-controlled companies from buying American technology companies and to stop American companies from handing over key technologies as a cost of entering the Chinese market.

The Chinese government argues that the US government's real goal is to stifle China's growth, and that the trade war initiated by President Trump has had negative effects on the

global economy. They have also denied forced transfer of intellectual property and acknowledged the impact of R&D (Domestic Research and Development) performed in China. Furthermore, former US Treasury Secretary Larry Summers argued that Chinese leadership in some technological fields is the result of government investments in basic science, not theft of US properties.

In January 2020, the countries agreed on a trade deal under which China committed to purchasing \$200 billion worth of American goods over the following two years (“Phase One Trade Deal”). However, due to the global collapse in goods trade caused by the COVID-19 pandemic, China ultimately fell short of the purchase commitments previously made.

The Biden administration did not renounce the tariffs introduced by the former president, keeping the effective rates at around 20%. In addition, US policy shifted from mainly tariffs to a broader technology and national security strategy through *Executive Order 14032* (2021), which banned US investment in Chinese companies linked to military or surveillance sectors.

On February 1, 2025, Trump signed Executive Order 14195, through which he declared a national emergency regarding drug trafficking from China into the United States. According to the president, the Chinese government was providing a “safe haven” for criminal organizations. This was followed by a period of successive tariff increases by both parties involved, reaching a record 127% by the US and 147% by China. On May 12th, both countries reached a truce in an effort to reduce tensions. The US reduced the tariffs to 30%, and the Chinese government responded by reducing tariffs on American goods to 10%.

In February 2026, the US Supreme Court struck down the tariffs the Trump administration implemented on imports from China under the International Emergency Economic Powers Act.

IV. Major Countries and Organizations Involved

As the main instigator, **the United States** uses aggressive tools to curb trade deficits and pressure China on issues like fentanyl and intellectual property. The US strategy focuses on “de-risking” its economy from Chinese manufacturing while subsidizing its own critical sectors

Beijing responds with “tit-for-tat” tariffs, targeting American agricultural exports to maximize political pressure. Beyond tariffs, **China** has weaponized its control over critical minerals and rare earths, implementing export controls that force the US to the negotiating table.

Vietnam has become an alternative for companies fleeing Chinese tariffs, seeing a 3.7 percentage point increase in its share of US imports. However, it is facing scrutiny from the US over concerns that Chinese firms are rerouting goods through Vietnamese factories to evade duties.

Taiwan is the world’s premier semiconductor hub. It has seen a significant growth in the high-tech market, as American firms move away from mainland Chinese suppliers to avoid restrictions.

Mexico has become the largest US import partner and has absorbed a significant portion of the trade formerly held by China. It leverages the USNCA trade deal to provide a manufacturing base for North American supply chains, particularly in automotive and industrial sectors.

The European Union found itself caught between the two superpowers. It implemented countermeasures on US exports while negotiating a framework deal to set duties at 15%.

India is seeking to position itself as the alternative to Chinese-produced goods. It has implemented “Production Linked Incentive” schemes to attract electronics and semiconductor manufacturing. While it benefits from the tariffs imposed on China, it faces pressure to lower its own high import tariffs on American motorcycles and agricultural products.

Argentina and Brazil have become the primary beneficiaries of China's shift away from American agriculture. By early 2026, they became China's primary soybean suppliers, effectively displacing US farmers who previously dominated the market. This has created a massive trade increase for the South American states, while leaving the US Midwestern states reliant on government subsidies to offset lost export value

The World Trade Organization (WTO) is meant to be the global "referee"; however, it struggles as both the US and China increasingly ignore the norms in favor of unilateral actions. While it remains the primary forum for China to file formal complaints, its enforcement power is limited by the ongoing paralysis of its appellate body.

BRICS+ (Brazil, Russia, India, China, South Africa) is a platform of emerging economies that aims to promote local currency trade to bypass Western systems and challenge the dominance of the US dollar. Starting in 2024, it has seen an increase in members: Saudi Arabia, Iran, the UAE, Egypt, Ethiopia, and Indonesia in 2025. In 2026, they are pilot-testing a common digital payment system designed to allow China to purchase Brazilian soy and Russian energy without using the US banking system, directly undermining the efficiency of American economic pressure.

V. Timeline of Events

• <i>First part of the Trade War (2018-2020)</i>	
January 2018	The US imposes tariffs on solar panels and washing machines.
April-July 2018	Escalation Begins; The US imposes 25% tariffs on \$34 billion of Chinese goods, and China retaliates with equal measures.
May 2019	After failed negotiations, the US raised tariffs on \$200 billion of Chinese goods from 10% to 25%.
August 2019	The US Treasury designates China as a “currency manipulator”.
January 15, 2020	Phase One Trade Deal is signed. The US reduces some tariffs, and China agrees to increase purchases of US goods by \$200 billion over 2 years.
• <i>Second part of the Trade War (2025-present)</i>	
January-February 2025	Following his re-inauguration, President Trump announces a baseline 10% tariff on all Chinese imports, citing a “national emergency” regarding fentanyl
April 2025	The US implements an additional 34% tariff, bringing the total to around 54%. China responds with its own tariffs.

May 2025	A temporary ceasefire is reached in Geneva; tariffs are lowered to 30% (US) and 10% (China) for a period of 90 days.
September-October 2025	Tensions resurface as China tightens rare-earth export controls. Trump threatens a massive 100% additional tariff on all Chinese imports.
October 2025	Trump agrees to reduce tariffs in exchange for China's commitment to tracing fentanyl, resume soybean purchases, and pause rare-earth export controls.
February 20, 2026	The U.S. Supreme Court struck down the broad tariffs President Trump imposed in 2025 using the IEEPA. The court ruled that the President exceeded his authority because the power to impose tariffs belongs exclusively to Congress under the Constitution.

VI. Previous Attempts to Solve the Issues

- The “Phase One” approach
- 2025/2026 Tentative Truces
- Sector-Specific and “Quid Pro Quo” Agreements
- Supply chain realignment and diversification
- WTO actions

VII. Possible Solutions

- **Arbitration agreement**

This represents an agreement between two nations to submit a dispute to international arbitration for an abiding solution.

- **Economic Integration**

It represents the unification of economic policies between different states, through the partial or complete abolition of tariff and non-tariff restrictions to trade. It is intended to lower prices for distributors and consumers with the aim of increasing the level of welfare. while leading to an increase of economic productivity of the co.

- **Free Trade Agreements**

These determine the tariffs and duties that countries impose on imports and exports with the goal of reducing or even eliminating trade barriers, thus encouraging international trade.

- **World Trade Organization**

It is an intergovernmental organization whose purpose is to regulate and facilitate international trade. It provides a framework for negotiating trade agreements and to resolve trade disputes among its members. So far, it has acted as a forum for legal challenges in the conflict between the US and China.

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